SPACE VALUATION & FORENSICS ENGINE — INSTITUTIONAL UNDERWRITING DOSSIER

Artist: **HMWME (Jesper / Manager: Zane Wilder)** | Entity: **AKTIEBOLAGET THE FAMILY OF ONE (Org.nr 559354-1948, Visby)** | Deal ID: `#SPC-HMWME` | Spotify: `6iUsKG741oVA0KXtElIpOo`

INTEGRITY: 100.0/100 (CLEAN ORGANIC)

Verified Ledger: 84,619 Rows (DistroKid + Amuse) | Oct 2026

VERIFIED LTM NET ROYALTIES (CF_0)

$66,886.99 USD

€61,536.03 EUR (2025-08 to 2026-07) | L3M Run-Rate: $88,553/yr

STANDALONE BASE VALUATION (DTW + DCF)

$134,850.14 USD

€124,062.13 EUR (2.02x LTM | 19.09% WACC | 40m Payback)

TYPESAFE AI (JEV) IMPLIED BASE / STRETCH

$134,463 / $171,366

€123,706 Base / €157,657 Stretch | 100% Model Agreement

STRUCTURED OPTION A PACKAGE (12Y + 6-10 REL)

$275,000 – $325,000

$185k–$215k Upfront + $60k–$80k Delivery Tranches + $30k Bonus

1. SELLER ASK VS. VERIFIED INSTITUTIONAL DEAL STRUCTURES

Structure / Benchmark	Headline Amount (USD / EUR)	Multiple	Structure & Underwriting Notes
Typeform Intake Claim	$80,000/yr → Ask $350k–$450k	5.2x–6.7x	Seller included Q2 2026 run-rate ($7.38k/mo = $88.55k/yr) in LTM estimate
Zane Wilder Counter-Ask (Option A)	$300,000 Upfront + Delivery Tranches	4.49x Upfront	12-Year Exclusive License + 6–10 future releases; requested delivery-based tranches
SPACE Standalone Catalog Base	**$134,850 USD (€124,062 EUR)**	**2.02x LTM**	Existing 25 tracks only; 80% upfront ($107.9k) / 20% 12m escrow ($27.0k)
SPACE Option A (Recommended Counter)	**$275,000 – $325,000 USD**	**4.11x–4.86x**	**$185k–$215k** at closing + **$60k–$80k** on delivery of 6–10 releases + **$30k** Y2 retention
SPACE Option B (75–80% Partial Buyout)	$200,000 – $240,000 USD	2.99x–3.59x	$165k upfront + $60k earn-out; HMWME keeps 20%–25% perpetual royalty share
SPACE Option C (10Y Term License Only)	$180,000 – $235,000 USD	2.69x–3.51x	10-year license on existing 25 ISRCs; 100% rights revert to HMWME after Year 10

2. DTW ARCHETYPE, DSP CONCENTRATION & TERRITORY FORENSICS

Forensic Metric	Verified Value	Institutional Assessment
DTW Best Archetype Match	`ALGORITHMIC_PROLONGED_PLATEAU` (0.2228)	Last-12M curve shows sustained $6.3k–$9.1k/mo plateau across multiple singles
JEV Lifecycle Classification	`recent_release_frontloaded_decay` (p=0.83)	88.6% of LTM revenue is from 2025–2026 releases; blended Year-1 decay = 33.88%/yr
DSP Platform Breakdown	Spotify 86.88% | YouTube 9.36% | Apple 3.01%	30,914,201 audio streams ($2.47/1k net RPM) separated from 1.64M UGC social views ($51.33)
Tier-1 Territory Share	**80.88% Total Tier-1** (70.70% Top-6 + 10.18% Other-11)	Top 6 Tier-1: US 40.93%, DE 19.61%, FR 3.16%, GB 2.95%, AU 2.16%, CA 1.89% (= 70.70%) + Other 11 Tier-1 (NL, CH, AT, SE, BE, NO, DK, IE, FI, NZ, JP = 10.18%) → **80.88% streams / 88.27% revenue**
Track Concentration (HHI)	`0.1496` (25 Verified ISRCs)	Moderate diversification: Top track *TE AMO* = 28.17%, *BLACK FRIDAY* = 19.56%, *LONELY* = 11.74%
Distributor Switch Check	DistroKid ($54.20k LTM) + Amuse ($12.69k LTM)	Amuse tracks (FOR YOU, STILL MINE, CHIHIRO) added $12,687 in Mar–Jul 2026 without double-counting

3. RECONCILED 10-YEAR & 12-YEAR MONTE CARLO DCF SCHEDULE (WACC = 19.09%, MONTHLY WEIBULL DISCOUNTING $(1+R)^{-m/12}$, 5Y P50 NPV = $128,225 · 10Y P50 NPV = $150,309)

Projection Year	Effective YoY Decay	Monthly DF (EOY DF)	Projected CF P10	Projected CF P50 (Base)	Projected CF P90	Present Value (P50)	Cum. NPV P10	Cum. NPV P50 (USD / EUR)	Cum. NPV P90
Year 1 (2026)	17.65%	0.9160 (0.8397)	$47,603	**$55,078**	$63,829	$50,454	$44,821	**$50,454** (€46,417)	$56,878
Year 2 (2027)	25.61%	0.7668 (0.7051)	$32,705	**$40,974**	$51,907	$31,418	$70,191	**$81,871** (€75,322)	$96,390
Year 3 (2028)	20.03%	0.6467 (0.5921)	$24,573	**$32,767**	$44,266	$21,189	$86,227	**$103,060** (€94,816)	$124,499
Year 4 (2029)	17.00%	0.5415 (0.4972)	$19,344	**$27,195**	$38,608	$14,727	$96,831	**$117,787** (€108,364)	$145,091
Year 5 — 5Y NPV Anchor (2030)	15.28%	0.4530 (0.4175)	$15,768	**$23,039**	$34,218	$10,438	**$104,048**	**$128,225** (€117,967)	**$160,532**
Year 6 (2031)	13.85%	0.3790 (0.3505)	$13,043	**$19,847**	$30,541	$7,521	$108,899	**$135,746** (€124,886)	$171,974
Year 7 (2032)	13.61%	0.3175 (0.2944)	$10,937	**$17,146**	$27,425	$5,444	$112,326	**$141,190** (€129,895)	$180,616
Year 8 (2033)	12.78%	0.2683 (0.2472)	$9,240	**$14,955**	$24,776	$4,013	$114,769	**$145,202** (€133,586)	$187,164
Year 9 (2034)	12.24%	0.2240 (0.2075)	$7,788	**$13,125**	$22,398	$2,940	$116,500	**$148,143** (€136,291)	$192,129
Year 10 — 10Y DCF Anchor (2035)	12.34%	0.1883 (0.1743)	$6,705	**$11,506**	$20,375	$2,166	**$117,744**	**$150,309** (€138,284)	**$195,925**
Year 11 (2036 · Option A Ext)	12.75%	0.1573 (0.1463)	$5,850	**$10,039**	$17,777	$1,579	$118,664	**$151,888** (€139,737)	$198,722
Year 12 (2037 · Option A 12Y End)	12.75%	0.1350 (0.1229)	$5,104	**$8,759**	$15,511	$1,182	$119,353	**$153,070** (€140,825)	$200,816

Model Reconciliation Note: `SpaceValuationEngine` simulates 120 monthly steps (*m = 1..120*) with continuous Weibull hazard relaxation (τ = 24m) and monthly discounting `(1 + WACC)^(-m/12)`, yielding exact Cumulative NPVs of **$128,224.87 (€117,966.88) at Year 5**, **$150,309.11 (€138,284.38) at Year 10**, and **$153,070.29 (€140,824.67) at Year 12** (whereas a discrete end-of-year `(1+r)^(-t)` approximation with a full-year Year-1 step discounts Year 1 at 0.8397 instead of 0.9160, summing to $113,691 at 10Y / $115,877 at 12Y).

4. TOP 15 VERIFIED TRACKS BY LTM NET EARNINGS (OUT OF 25 VERIFIED ISRCS)

#	ISRC	Track Title	Distributor	Release Date	Verified LTM Net ($ / €)	LTM Share (%)	Annual Audio Streams
1	`QT3F22596869`	**TE AMO**	DistroKid	2025-09-01	**$18,843.13** (€17,335.68)	28.17%	7,075,221
2	`QZZ792544788`	**BLACK FRIDAY**	DistroKid	2025-08-01	**$13,081.93** (€12,035.38)	19.56%	5,497,469
3	`QZMEM2635836`	**LONELY**	DistroKid	2026-02-01	**$7,849.77** (€7,221.79)	11.74%	3,395,614
4	`SE6HN2608000`	**FOR YOU**	Amuse	2026-03-01	**$5,086.31** (€4,679.40)	7.60%	1,962,264
5	`QT6E52570867`	**INNERBLOOM**	DistroKid	2025-10-01	**$4,305.19** (€3,960.77)	6.44%	1,646,042
6	`QZRP52291409`	**YOU TOOK MY HEART**	DistroKid	2022-10-01	**$3,729.89** (€3,431.50)	5.58%	1,839,537
7	`SE6I32613385`	**STILL MINE**	Amuse	2026-05-01	**$2,769.20** (€2,547.67)	4.14%	1,061,861
8	`QT6G42584615`	**BACK 2 U**	DistroKid	2025-12-01	**$2,664.08** (€2,450.95)	3.98%	1,026,328
9	`SE6HN2606809`	**CHIHIRO**	Amuse	2026-04-01	**$1,786.66** (€1,643.73)	2.67%	484,532
10	`QZFZ62620022`	**save you**	DistroKid	2026-01-01	**$1,263.52** (€1,162.44)	1.89%	452,340
11	`QZWFP2383565`	**SET FIRE TO THE RAIN**	DistroKid	2023-12-01	**$1,170.95** (€1,077.27)	1.75%	506,088
12	`SE6I32613387`	**GOING BACK**	Amuse	2026-05-01	**$1,035.34** (€952.51)	1.55%	318,268
13	`QZPLR2634201`	**ELLE S'ACCROCHE**	DistroKid	2026-04-01	**$608.00** (€559.36)	0.91%	261,695
14	`QZTAT2206123`	**SOMEONE TO HOLD YOU**	DistroKid	2022-10-01	**$513.84** (€472.73)	0.77%	260,685
15	`QZTAT2217026`	**WHEREVER YOU CALL ME**	DistroKid	2022-10-01	**$381.38** (€350.87)	0.57%	166,433

5. PARALLEL TYPESAFE AI (JEV / SYSTEM ONE — JEV-1.14.0 & JEV-1.13.0) PROBABILISTIC AUDIT

Question ID	Answer Type	Posterior Point Estimate & Underwriting Interpretation	Confidence	Ensemble Agreement
`gross_vs_net_claim_explanation`	`choice`	**seller_extrapolated_recent_l3m_surge_run_rate** (p=0.88 — $80k claim reflects $88.6k L3M run-rate vs $66.9k LTM)	85.6%	100% (jev-1.14.0 & jev-1.13.0)
`social_ugc_inflation_detected`	`noul`	**0.0504** (95.0% pure audio DSP streams vs 5.0% Meta/TikTok/Snap UGC units)	89.9%	100% (jev-1.14.0 & jev-1.13.0)

Question ID	Answer Type	Posterior Point Estimate & Underwriting Interpretation	Confidence	Ensemble Agreement
`catalog_lifecycle_classification`	`choice`	**recent_release_frontloaded_decay** (p=0.83 — 90.74% of LTM cashflow in <12m frontline cohort)	78.8%	100% (jev-1.14.0 & jev-1.13.0)
`bot_or_farm_fraud_probability`	`noul`	**0.0250** (97.5% clean organic probability; 80.88% total Tier-1 stream share)	95.0%	100% (jev-1.14.0 & jev-1.13.0)
`missing_promised_tracks_materiality`	`score`	**0.10 / 4.00 — Level 0: Complete 100% match** (p_0=0.92; all 25 DistroKid & Amuse ISRCs verified)	91.7%	100% (jev-1.14.0 & jev-1.13.0)
`collaborator_split_chain_of_title_risk`	`score`	**0.14 / 4.00 — Level 0: Clean 100% solo masters** (p_0=0.88; AKTIEBOLAGET THE FAMILY OF ONE, 559354-1948)	88.3%	100% (jev-1.14.0 & jev-1.13.0)
`seller_multiple_expectation_gap`	`score`	**2.82 / 4.00 — Level 3: Wide standalone gap (p_3=0.78)** — Ask ($350k–$450k = 5.23x–6.73x LTM) is **2.60x–3.34x** our standalone DCF base ($134,850 / 2.02x LTM) and Option A counter ($300k upfront) is **2.22x** base; bridgeable ONLY via 6–10 future release delivery tranches ($60k–$80k)	80.0%	100% (jev-1.14.0 & jev-1.13.0)
`recommended_deal_structure`	`choice`	**dual_option_outright_90_10_plus_hybrid_earnout_new_music** (p=0.90 — Option A $275k–$325k w/ 6–10 releases)	86.7%	100% (jev-1.14.0 & jev-1.13.0)
`recommended_valuation_anchor_tier`	`choice`	**target_median_with_structured_upside_corridor** (p=0.91 — Base $134,463 / Stretch $171,366 standalone)	86.5%	100% (jev-1.14.0 & jev-1.13.0)
`ready_for_indicative_offer_and_nda`	`noul`	**0.9650** (96.5% ready for Scrive Term Sheet & Institutional Syndication Call)	93.0%	100% (jev-1.14.0 & jev-1.13.0)